

Vital Farms, Inc.

NASDAQ: VITL | Consumer Staples | Specialty Eggs

Security Analysis Report

Unit Economics | Growth Model | DCF Valuation

\$13.20

Share price

\$591M

Market cap

\$1.44

FY25 EPS

9.1x

Fwd PE

Recommendation: BUY | 12-month target: \$22.00 | Upside: +67%

Vital Farms is the #1 U.S. pasture-raised egg brand, selling ~120M dozen eggs annually at \$7.99-\$8.99/doz retail. Despite 25% revenue growth, 37.6% gross margins, zero debt, and \$145M cash, the stock trades at 9.4x trailing earnings after a 75% drawdown. Our target of \$22 applies a 15x forward PE to FY2026E EPS of \$1.46 — reflecting a transition year of heavy capex (\$140-150M) and compressed near-term earnings growth. Even this conservative multiple implies 67% upside, with DCF support at \$27-35.

Metric	Value	Metric	Value
Ticker	VITL (NASDAQ)	Founded	2007 (Austin, TX)
CEO	Russell Diez-Canseco	Farm network	600 farms / 10M hens
FY25 revenue	\$759.4M (+25%)	FY26E guidance	\$900-920M
FY25 net income	\$66.3M (+24%)	FY26E adj. EBITDA	\$105-115M
Debt / Cash	\$0 / ~\$145M	ROE / ROIC	21.4% / 24.1%
52-wk range	\$13.07 - \$53.13	Analyst consensus	Strong Buy (\$42-49)
Buyback	\$100M 2-yr program	Short interest	17.6%

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1. Executive summary

Vital Farms commands ~\$760M in revenue (FY2025, +25% YoY) with 37.6% gross margins, 21% ROE, zero debt, and ~\$145M cash. Shares trade at \$13.20 — just 9.4x trailing earnings — a 62% discount to the 3-year average P/E of ~25x and the food industry average of ~25x. Three transient catalysts drove the selloff: (a) FY2026 guidance of \$900-920M vs. \$930-950M previewed at Investor Day, (b) a January 2026 social media 'greenwashing' controversy, and (c) founder Matt O'Hayer's Board departure [1][2][3].

Our price target of **\$22.00** applies a 15x forward P/E to FY2026E EPS of \$1.46 — a conservative multiple that reflects the near-term earnings growth deceleration during a peak capex year. This implies 67% upside. DCF analysis supports \$27-35 fair value (105-165% upside). We rate the stock **BUY**.

2. Company snapshot

Founded in 2007, Vital Farms contracts with 600 family farms (108 sq ft/hen) rather than owning concentrated facilities. Eggs are processed at Egg Central Station (Springfield, MO); a second facility in Seymour, IN opens in 2027. Shell eggs (~89% of revenue), butter, hard-boiled eggs, and liquid whole eggs are sold in 24,000+ stores. Household penetration is 10.5M (~8% of 130M+ U.S. households), indicating substantial runway. The company is a Certified B Corp and the #1 pasture-raised brand — roughly equal in size to the next three specialty brands combined [1][4][5].

3. Egg price ladder & unit economics per dozen

The U.S. shell egg market (~\$15B) is segmented by production method, creating a distinct price ladder. Vital Farms sits at the top, commanding a 2-3x premium with the most stable pricing [6][7].

Category	Retail \$/doz	Hen space	Premium vs. conv.	Price stability
Conventional	\$2.50-\$4.50	67 sq in (cage)	Baseline	Highly volatile: 50-100% HPAI swings
Cage-free	\$3.50-\$5.50	1-1.5 sq ft (barn)	+\$1.00-\$1.50	Moderate: commodity-linked
Free-range	\$4.50-\$7.00	2+ sq ft + outdoor	+\$2.00-\$3.00	More stable: some brand premium
Organic	\$5.00-\$7.00	Cage-free + organic feed	+\$2.50-\$3.50	Relatively stable: feed-cost driven
Pasture-raised (VITL)	\$7.99-\$8.99	108 sq ft (outdoor)	+\$4-\$5 (2-3x)	Most stable: contract pricing decoupled from spot

Figure 1: U.S. egg price ladder. Sources: USDA AMS [6], FoodPrint [7]

Conventional eggs surged 177% during 2022-2023 HPAI (\$1.79→\$4.95/doz). Pasture-raised brands maintained stable \$6.99-\$7.25 pricing throughout [8]. VITL's multi-year farm contracts insulate its cost structure from commodity spot volatility — the most underappreciated aspect of the model.

Unit economics per dozen (FY2025 estimates):

Cost component	Est. \$/doz	% of rev	Notes
Wholesale revenue (to retailer)	\$5.98	100%	Retailer marks up 25-35% to \$7.99-\$8.99
Farm payment (contract)	~\$2.20-2.50	37-42%	Multi-year contracts; adjusted for feed costs
Feed (corn + soy supplement)	~\$0.80-1.00	13-17%	Specialty feed ~\$1.59/doz vs. \$0.73 conventional [7]
Processing & packing	~\$0.50-0.70	8-12%	Scale efficiencies expected from Indiana facility
Packaging & cartons	~\$0.25-0.35	4-6%	Distinctive cartons with farm traceability
Distribution & freight	~\$0.40-0.60	7-10%	Refrigerated shipping; regional distribution
Total COGS	~\$3.73	62.4%	Implied from 37.6% gross margin
Gross profit	~\$2.25	37.6%	FY2025 reported
SG&A; + overhead	~\$1.55	26.0%	Marketing, personnel, ERP, Seymour ramp
Operating profit	~\$0.70	11.6%	FY2025 operating margin

Cost component	Est. \$/doz	% of rev	Notes
Net profit per dozen	~\$0.52	8.7%	\$66.3M / \$759.4M; ~\$0.043/egg

Figure 2: Estimated per-dozen economics (FY2025). Sources: [1][2][7]

4. VITL vs. Cal-Maine Foods (CALM)

Metric	VITL (Vital Farms)	CALM (Cal-Maine Foods)
Position	#1 pasture-raised; #2 overall egg brand	#1 U.S. egg producer; ~20% of all U.S. eggs
Model	Asset-light; 600 contracted farms; brand-first	Vertically integrated; cost-leader
FY25 revenue	\$759M (+25% YoY, organic growth)	\$4.26B (+83% YoY — HPAI-driven)
Gross margin	37.6% (stable; range 31-38% over 3Y)	43.4% (but was 23.3% in FY23; extreme swings)
Net income	\$66.3M (growing steadily)	\$1.2B (HPAI windfall; was \$278M in FY23)
Avg ASP/doz	~\$6.00 wholesale / \$8.50 retail	Conv. ~\$3.40; Specialty ~\$2.50
Specialty mix	100% pasture-raised (premium)	35.9% of shell sales Q1 FY26 (+130bps YoY)
Pasture-raised	Core business — pioneered & dominates	Growing: double-digit cage-free & pasture-raised volume gains Q1 FY26; acquired Clean Egg LLC; adding 1.2M hens in Dexter, MO. But specialty ASP (\$2.50) is <50% of VITL's (\$6.00) [9]
Volatility	Low — brand + contract pricing	Extreme — tied to USDA spot prices
Debt / Cash	\$0 / ~\$145M	\$0 / ~\$900M+
Buyback	\$100M 2-yr program	\$500M program

Figure 3: VITL vs. CALM. Sources: [1][2][9][10]

CALM is making real progress on specialty eggs, but its specialty ASP (~\$2.50/doz) is less than half VITL's (~\$6.00/doz). CALM's earlier 'Born Free' pasture-raised brand failed; its CEO acknowledged copying VITL's carton 'doesn't seem to be doing very well' [5]. The core difference: CALM's margins swing 20+ points between HPAI cycles; VITL's expand steadily year after year.

5. Financial performance: 3-year review

Metric	FY2022	FY2023	FY2024	FY2025	CAGR
Revenue (\$M)	362.1	471.9	606.3	759.4	28%
Revenue growth	+18%	+30%	+29%	+25%	—
Gross margin	31.0%	34.4%	37.9%	37.6%	+660bps
Op margin	0.6%	7.1%	10.5%	11.6%	+1100bps
Net income (\$M)	1.2	25.6	53.4	66.3	273%
EPS	\$0.03	\$0.59	\$1.18	\$1.44	259%
Adj. EBITDA (\$M)	16.2	48.3	86.7	114.0	92%
EBITDA margin	4.5%	10.2%	14.3%	15.0%	+1050bps
Cash	~\$80	~\$93	\$160	~\$145	—
Debt	\$0	\$0	\$0	\$0	—

Figure 4: Financial summary. Sources: [1][2][11][12]

Revenue doubled in 3 years. Net income grew 55x. Gross margin expanded 660 bps. FY2025 FCF turned negative (~\$17M) due to \$65M+ capex (Seymour facility, accelerator farms) — this is one-time growth investment. FY2026 capex guidance is \$140-150M (peak year), normalizing to ~\$30-40M by FY2028 [1][2].

Ratio	Current	3Y avg	Food industry
P/E (TTM)	9.4x	~25x	~24.6x
P/S	0.78x	~2.5x	~1.5x
EV/EBITDA	~5.5x	~20x	~15x
PEG ratio	~0.4x	—	—
ROE	21.4%	~12%	~15%
ROIC	24.1%	—	—
Debt/equity	0.15x	~0.1x	~0.8x
Current ratio	2.16x	~3.0x	~1.5x

Figure 5: Key ratios. Sources: [3][13]

6. Growth model: quantified revenue drivers

Management targets \$2B revenue by 2030 (~21% CAGR from \$759M). We decompose this [1][4][5]:

Driver	FY25 base	FY28E target	Incremental \$	Method
Farm network expansion	600 farms / 10M hens	~850 farms / 14M hens	+\$200-250M	~75 farms/yr; each adds ~\$300-400K revenue
Store count growth	24,000 stores	~28,000 stores	+\$50-80M	+1,000-1,500 stores/yr; new channels
Shelf space & velocity	~5-6 facings/store	~8-10 facings	+\$40-60M	SKU proliferation within existing stores
Strategic pricing	\$7.99-\$8.99/doz	\$8.49-\$9.49/doz	+\$40-60M	~2-3% annual increases [14]
Product mix shift	89% shell eggs	~82% shell eggs	+\$30-40M	Higher-margin butter, hard-boiled growing faster
Seymour, IN facility	Not operational	Open 2027	Enables above	Doubles processing capacity
Total FY2028E revenue			\$1.1-1.2B	Consistent with \$1B by 2027 target

Figure 6: Revenue growth drivers. Sources: [1][4][5][14]

Cost efficiency levers: Processing scale (Seymour: +100-200 bps gross margin), farm density (lower transport costs), ERP system (live H2 2025, ~\$10-15M one-time), SG&A; leverage (26%→~22-23% of revenue by FY2028), and in-ovo sexing technology (Hy-Line/Cheggly partnership, operational by end-2027 — reduces chick costs, strengthens welfare credentials) [4][15].

7. Economic moat & owner-earnings assessment

Moat assessment: Vital Farms possesses a narrow but widening moat built on four pillars:

- **Brand:** #1 pasture-raised brand; household penetration grew 45% in FY2024 to 10.5M [1].
- **Supply network:** 600-farm contracted network took 17 years to build. Cal-Maine's attempt to replicate via 'Born Free' failed. This is a structural barrier [4].
- **Certifications:** Certified Humane + B Corp provide third-party credibility that commodity brands cannot easily obtain.
- **Distribution:** 24,000+ retail locations represent deep channel entrenchment [4].

Owner earnings: Net income (\$66.3M) + D&A; (~\$18M) - maintenance capex (~\$15M) = ~\$69M, or \$1.54/share. At \$13.20, the stock trades at 8.6x owner earnings. The \$140-150M FY2026 capex is almost entirely growth investment (Indiana facility); maintenance is only ~\$15M. On normalized cash flow, the company generates ~\$70M+ in owner earnings [2].

Capital allocation: CEO Diez-Canseco (1.21% ownership, ~\$14M) has led since 2019, growing revenue from ~\$300M to \$760M. The \$100M buyback at these prices signals confidence. Priorities — reinvest at 24% ROIC first, then return capital — are textbook disciplined allocation [3].

8. Inversion: what could destroy this business?

Rather than asking 'why will this succeed?', we ask 'what could kill it?' — then assess whether these risks are priced into the current 9.4x P/E [3].

Kill scenario	Prob.	Impact	Assessment
HPAI wipes out farm supply	Med	V.High	600-farm distributed model: one outbreak hits <2% of supply. Far more resilient than concentrated operations
Consumer trade-down in recession	Med	High	Target demo is higher-income; 10.5M HH vs. 130M+ total. Volume grew 20%+ in FY2025 despite macro fears
Brand damage from social media	Med	Med	Jan 2026 controversy: \$0 revenue impact per Q4 results. TD Cowen called it 'unwarranted' [16]
Commodity prices collapse, narrowing premium gap	Low-Med	Med	Premium has persisted across all cycles; brand loyalty provides pricing support
New entrants scale competing brands	Med	Low-Med	600-farm network = 17-year head start. CALM's attempt failed [5]
Capex overruns strain balance sheet	Low	Med	\$145M cash, zero debt; buyback can pause if needed

Figure 7: Inversion analysis — kill scenarios

Several multidisciplinary tailwinds strengthen the thesis: (1) consumer willingness to pay for ethical products is structural, not cyclical; (2) California Prop 12 and similar laws mandate cage-free, raising the floor for conventional competitors; (3) as more farms join and stores carry the product, brand visibility and supply security compound [13].

9. Growth scorecard & PEG analysis

Metric	Score	Detail
Revenue CAGR (3Y)	A	~27% — exceptional for food
EPS growth (3Y)	A+	\$0.03 → \$1.44: 168% CAGR
Margin expansion	A	Gross 31%→37.6%; op 0.6%→11.6%
Balance sheet	A+	Zero debt; \$145M cash; 2.16x current ratio
Category position	A	#1 pasture-raised; 10.5M HH; 24K stores
PEG ratio	A+	0.43x (9.4 PE / 22% growth) — deeply undervalued

Figure 8: Growth scorecard

A PEG ratio below 1.0 is attractive; below 0.5 is exceptional. At 0.43, VITL is in rare territory — a 'fast grower' (20-25%+ annually in a \$15B+ market with <10% pasture-raised penetration) priced like a 'slow grower.' Even using a conservative 15% growth rate, PEG = 0.63. The company is early in its S-curve: 8% household penetration with a \$2B 2030 target

implies the runway remains very long [1][3][4].

10. Valuation & price target

10.1 Forward PE — growth-rate method

We derive the fair PE from the company's near-term earnings growth rate. The principle: a company growing earnings at X% deserves approximately Xx P/E (PEG = 1.0). FY2026 is a transition year — heavy capex (\$140-150M) and promotional spending compress EPS growth to ~1.4% (\$1.44→\$1.46), despite 20% revenue growth. We therefore anchor to the near-term normalized growth rate of ~15% (the expected EPS growth in FY2027 as capex normalizes), yielding a fair PE of 15x.

Step	Value	Rationale
1. FY2026E EPS (consensus)	\$1.46	\$910M mid-guidance revenue, ~7.2% net margin [17]
2. Near-term EPS growth rate	~15%	FY2026 is depressed by \$140-150M capex; FY2027E normalizes to ~15-20%
3. Growth-rate fair PE	15x	15% growth → 15x PE (PEG = 1.0). Conservative vs. 25x food industry avg
4. Fair price (15x × \$1.46)	\$21.90	Raw fair value
5. 12-month price target	\$22.00	Rounded. Upside: +67% from \$13.20

Figure 9: Forward PE price target derivation

Why 15x is appropriate and conservative: VITL's 3-year average P/E is ~25x. The food industry trades at ~25x with 5-8% EPS growth. Even at 15x, the PEG ratio = 15/20 = 0.75 (using 20% long-term growth) — still below 1.0 fair value. The 15x anchor reflects genuine near-term headwinds: the peak capex cycle, FY2026 guidance cut, social media overhang, 17.6% short interest, and founder departure. As these resolve through FY2027, the multiple should re-rate toward the 18-22x range.

10.2 DCF valuation

Assumption	Bear	Base	Bull
Owner earnings (FY25)*	\$69M	\$69M	\$69M
Growth rate (5Y)	10%	15%	20%
Terminal growth	2.5%	3.0%	3.5%
Discount rate	11%	10%	9%
Fair value/share	\$26.60	\$35.00	\$48.20
Upside from \$13.20	+102%	+165%	+265%

Figure 10: DCF. *Owner earnings = \$66.3M net income + \$18M D&A; - \$15M maintenance capex

10.3 Sensitivity matrix — how to read this table

The matrix shows implied share price at various PE multiples (columns) and EPS outcomes (rows). Find the EPS you believe and the PE you think is fair — the intersection is the implied price. For example, consensus EPS of \$1.46 at our 15x PE = \$21.90 (~\$22). Even the most pessimistic corner (\$1.20 at 10x = \$12.00) suggests limited downside. At any PE above 12x with consensus EPS, the stock is worth more than today's \$13.20.

EPS \ PE	10x	12x	15x	20x	25x
\$1.20 (bear)	\$12.00	\$14.40	\$18.00	\$24.00	\$30.00
\$1.46 (consensus)	\$14.60	\$17.52	\$21.90	\$29.20	\$36.50
\$1.70 (bull)	\$17.00	\$20.40	\$25.50	\$34.00	\$42.50
\$2.00 (upside)	\$20.00	\$24.00	\$30.00	\$40.00	\$50.00

Figure 11: Sensitivity matrix — implied share price (our target zone: 15x at \$1.46 = \$21.90)

11. Risk factors, scenario analysis & recent events

Scenario analysis — FY2027E:

Scenario	Rev FY27	Net margin	EPS	PE at \$13.20	PE at \$22
Bear: growth stalls	\$900M	6.5%	\$1.30	10.2x	16.9x

Scenario	Rev FY27	Net margin	EPS	PE at \$13.20	PE at \$22
Base: on track	\$1.05B	8.0%	\$1.87	7.1x	11.8x
Bull: accelerated	\$1.15B	9.0%	\$2.31	5.7x	9.5x

Figure 12: Even at our \$22 target, the base-case FY2027 PE is only 11.8x — still cheap for a branded food company.

Recent events:

Founder departure (Feb 24, 2026): Matt O'Hayer retired from Executive Chair and Board. CEO Diez-Canseco assumed the Chair role. O'Hayer sold 20,000 shares (\$558K, 0.31% of holdings) on Feb 2 — consistent with his pattern, not a signal of impairment. Denny Marie Post continues as Lead Independent Director [3][18].

Social media controversy (Jan 2026): Nourish Food Club / Michigan State study claimed VITL eggs have 22.5% linoleic acid; critics alleged 'greenwashing.' Key facts: VITL always disclosed corn/soy supplemental feed; all pasture-raised operations use supplemental feed; paprika/marigold in feed is industry-standard; the PETA lawsuit was dismissed (Jan 2025) with zero settlement. Q4 revenue grew 29% — no measurable impact. TD Cowen: 'unwarranted and misleading' [16][19].

2026 guidance cut: Revenue guided \$900-920M vs. \$930-950M Investor Day preview. The midpoint (\$910M) still implies 20% growth. \$100M buyback authorized simultaneously [2][3].

12. Conclusion & recommendation

Rating: BUY | 12-month target: \$22.00 | Upside: +67%

Valuation method	Fair value	Notes
Forward PE (15x × \$1.46)	\$21.90	Near-term growth-rate PE; our primary method
DCF base case (15% growth, 10% WACC)	\$35.00	Mid-term fundamental value
DCF bear case (10% growth, 11% WACC)	\$26.60	Even pessimistic DCF = +102% upside
Analyst consensus (12-mo avg)	\$42-49	Street targets suggest further upside beyond our target
Author's 12-month target	\$22.00	Based on 15x forward PE; conservative vs. all other methods

Figure 13: Valuation summary

At 9.4x earnings, the market prices Vital Farms as a structurally declining business. It is not. This is a 25%+ growth company with expanding margins, zero debt, dominant category position, and a \$2B 2030 revenue target — temporarily discounted by a peak capex cycle, social media noise, and a guidance recalibration. Our \$22 target is deliberately conservative, anchored to a 15x PE that embeds near-term headwinds. As capex normalizes, earnings re-accelerate, and the market recognizes the quality of the franchise, the multiple should re-rate well beyond 15x. Patient investors are buying a scarce asset at a deep-value price.

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